

IONQ

Introduction

IonQ Inc is a US-based technology company specialising in quantum computing, which is one of the most advanced fields of computer science today. It was founded in 2015 by Christopher Monroe and Jungsang Kim, and they are headquartered in College Park, Maryland, USA (**IonQ, 2025a**). IonQ develops trapped-ion based quantum computers, where charged atoms (ions) are used to perform computations that are extremely difficult for traditional computers. Not only do they build quantum hardware and software systems, but they also provide access to such quantum computers via cloud platforms like AWS, Microsoft Azure, and Google Cloud. They have applications in drug discovery, financial modeling, logistics optimisation, and cybersecurity.

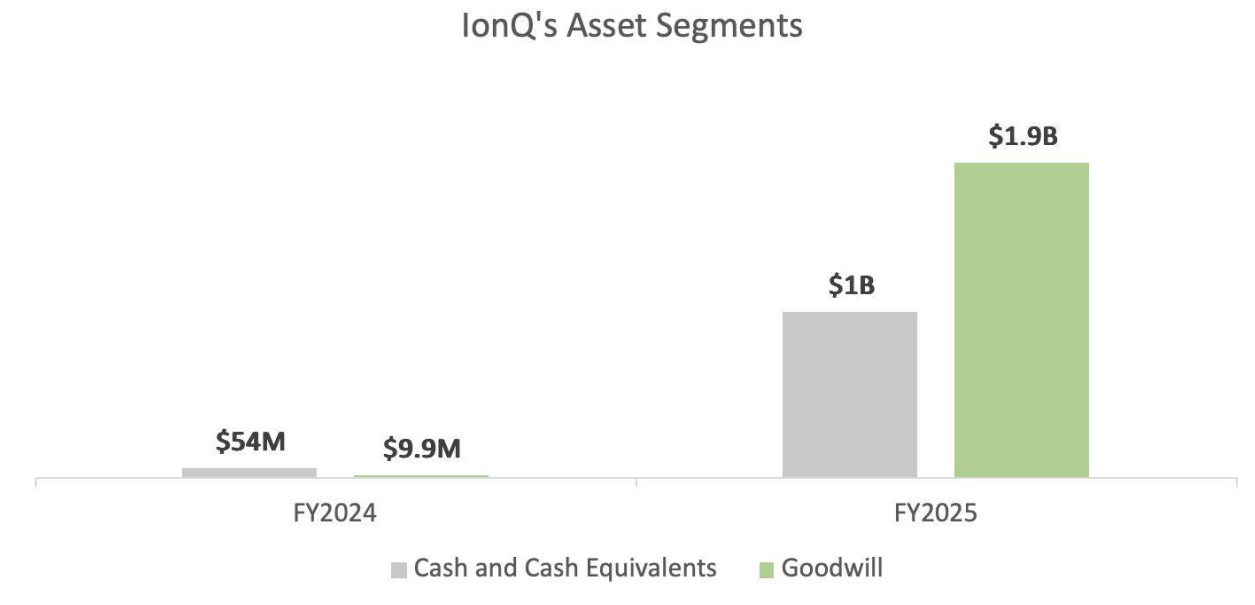
In 2021, IonQ is the first pure-play quantum computing company that went public to the New York Stock Exchange (**IonQ, 2021**). This report analyses the financial performance, market position, and investment profile of IonQ Inc based on its 2025 Annual Report (Form – 10K).

IonQ's Financial Position



Ratio Analysis

The following ratios compare the financial statements for the fiscal years ended on Dec 31, 2024, to Dec 31, 2025.



Liquidity and Solvency Ratios

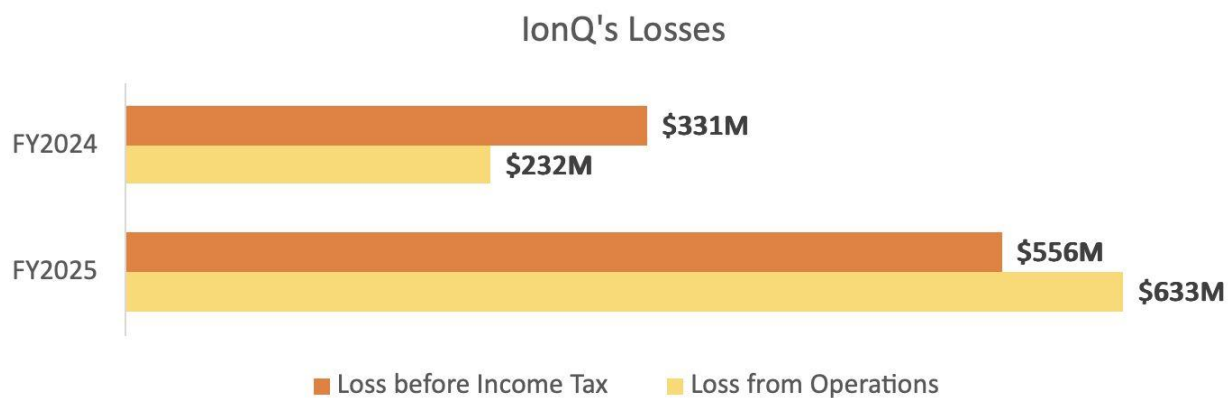
Ratios	Ratio Formula	2024	2025
Current Ratio	Current Assets / Current Liabilities	10.50	15.50
Quick Ratio	Current Assets - Inventories / Current Liabilities	10.50	15.50
Interest Cover	Profit Before Interest and Tax / Interest Payable	-14.15	-7.06

- **Current Ratio** increased from 10.5 in 2024 to 15.5 in 2025, which means that the company has much more short-term assets compared to short-term debts. Under current assets, the cash and cash equivalents for IonQ increased dramatically from \$54M to \$1.3B, making it one of the reasons why there was a rise in current ratio.
- **Quick Ratio** for IonQ is same as the current ratio, as there are no Inventories reported in the Balance sheet for both the years.
- **Interest Cover** ratio went from -14.15 in 2024 to -7.06 in 2025. As the ratios are negative, the company is in loss. In 2024, IonQ reported a loss (Loss from Operations) of \$232M, which increased to \$633.7M in 2025. Moreover, the interest payable (Accrued expenses and other current liabilities) also increased from

\$16.8M in 2024 to \$89.7M in 2025. Thus, even though the ratio seems like it's improving, in reality IonQ still cannot cover the interest.

- **Gearing Ratio is not included** because there is no long-term debt reported in the financial statement.
- **Dividend Cover is not included** because the company doesn't provide dividends.

Profitability Ratios



Ratios	Ratio Formula	2024	2025
Gross Margin	Gross Profit / Sales	52.80%	40.40%
Net Margin	Net Profit Before Tax / Sales	-539.68%	-487.41%
Sales-to-Assets	Sales / Total Assets	8.00%	2.00%
Return on Assets	Net Profit Before Tax / Total Assets	-45.72%	-9.65%

- **Gross Margin** was 52.8% in 2024 and it went down to 40.4% in 2025. Although the sales (Revenue) increased from \$43M in 2024 to \$130M in 2025 (approx. 3 times), the gross profit did not scale in the same way, from \$22.5M in 2024 to \$52M in 2025. This means that the company has a strong increase in revenue, but the profit per \$1 sale has declined.
- **Net Margin** has improved from -539.68% in 2024 to -487.41% in 2025, mainly because of an increase in sales as mentioned in the previous point. On the other hand, however, the net loss has increased from \$232M in 2024 to \$633M in 2025 indicating a declining profitability.

- **Sales-to-Assets** ratio declined from 8% in 2024 to 2% in 2025, which indicates that there is a significant reduction in asset usage efficiency. The Total Assets increased tremendously from \$508M to \$6.5B. According to the IonQ's annual report of 2025, they reported a huge increase in cash and cash equivalents, short-term and long-term investments, and other intangible assets.
- **Return on Assets** improved from -45.72% in 2024 to -9.65% in 2025 because the Total Assets grew a huge amount (as mentioned in the previous point). However, this does not mean that the profitability has also improved, as the loss has increased from \$232M in 2024 to \$633M in 2025.

Efficiency Ratios

<i>Ratios</i>	<i>Ratio Formula</i>	<i>2024</i>	<i>2024</i>
Account Receivable Days	Account Receivable x 365 / Sales	86	187
Account Payable Days	Account Payable x 365 / Cost of Sales	93	123

- **Account Receivable Days** increased from 86 days in 2024 to 187 days in 2025, which means that the company is getting what they owe at a much slower rate.
- **Account Payable Days** increased from 93 days in 2024 to 123 days in 2025, which means that the company is taking much longer to pay back their suppliers.
- **Inventory Turnover and Inventory Days are not included.**

Investment Ratios

<i>Ratios</i>	<i>Ratio Formula</i>	<i>2024</i>	<i>2025</i>
Earnings Per Share	Provided in the Income Statement	-1.56	-1.82
Price/Earnings Ratio	Share Price / Earnings Per Share	-26.76	-24.65
Return on Equity	Profit Before Tax / Share Capital + Retained Earnings	-60.59%	-16.62%

Return on Capital Employed	Profit Before Interest and Tax / Capital Employed	-24.41%	-11.47%
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- **Earnings Per Share** declined from -\$1.56 in 2024 to -\$1.82 in 2025 means the loss per share has increased. According to the IonQ's consolidated balance sheet for 2025 and 2024, the number of shares increased from 221M to 362M, contributing to the increased loss per share, despite the tremendous growth in revenue.
- **Price-to-Earnings Ratio** improved slightly from -26.76 in 2024 to -24.65 in 2025, which shows that the company is still in loss. The closing share price of IonQ increased from \$41.74 by the end of 2024, to \$44.87 by the end of 2025 (according to Yahoo finance)
- **Return on Equity** improved from -60.59% in 2024 to -16.62% in 2025, which is mainly due to huge increase in Share Capital (Additional paid-in capital) from \$1B in 2024 to \$5B in 2025. However, the Accumulated Deficit (negative Retained Earnings) increased from \$683M in 2024 to \$1.194B in 2025.
- **Return on Capital Employed** also improved from -24.41% in 2024 to -11.47% in 2025 mainly due to the huge increase in Capital Employed, from \$472M in 2024 to \$6.5B in 2025.

AI's Analysis and Verification

What did GenAI do differently with the calculations?

For ratio calculations, Gemini was used. At first, we feeded it with the IonQ's Annual Report 2025, and asked it to provide calculations (mention Appendix)

- In Quick Ratio, Gemini got the Inventory value as \$10.31M for 2025, however there was no inventory value provided in the financial report.
- As inventory value extracted was \$10.31M in 2025, Gemini also calculated Inventory Days which yielded approximately 48.56 days.
- For Interest Cover, Gemini used a different formula (EBIT / Interest Expense), which is different from the manual calculations used (Profit Before Interest and Tax / Interest Payable). Therefore, it has a different value.
- For Net Margin, Gemini calculated using the formula: Profit Before Tax / Revenue, which is different from the manual calculation formula: Net Profit Before Tax / Sales. Therefore, the values here are slightly different from the manual ones.

- The Return on Assets value calculated by Gemini was also different, because of considering Profit Before Tax, instead of Net Profit Before Tax.

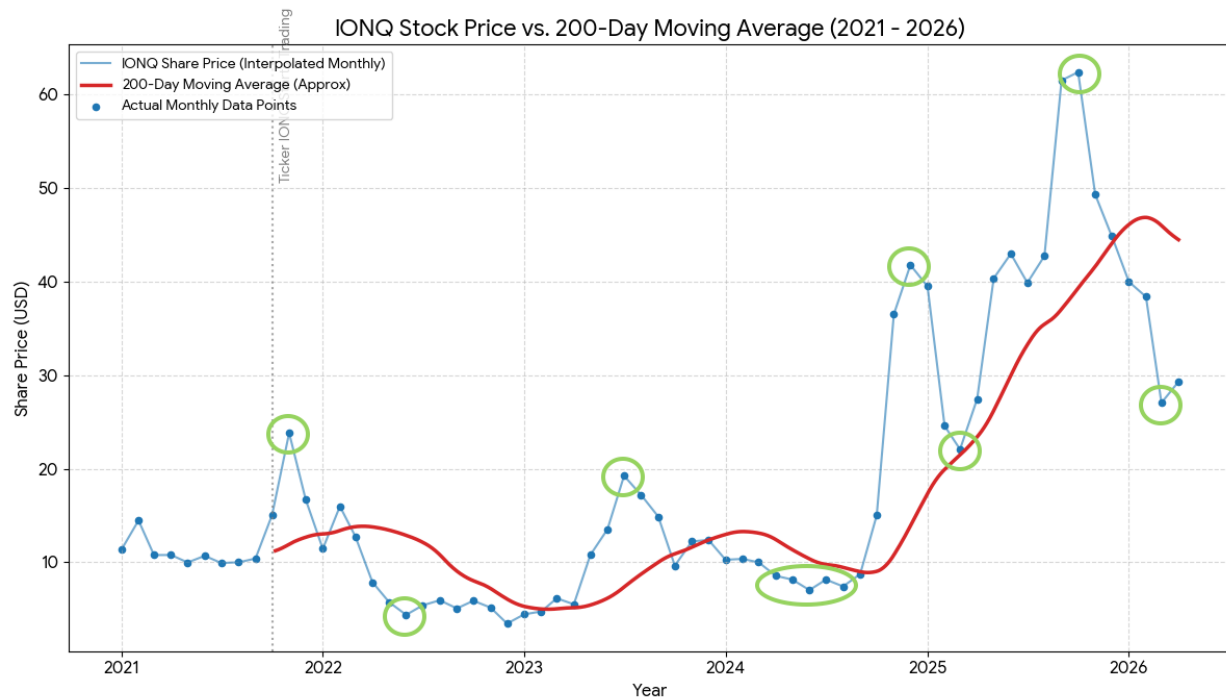
AI's Analysis of the Calculation

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Although some of the calculations were different, the interpretation was almost consistent with the manual calculations.

- **Liquidity:** IONQ maintains an extremely high current ratio (15.50 in 2025), indicating significant cash reserves relative to its immediate obligations. This is common for venture-backed or growth-stage technology firms that raise substantial capital to fund future R&D. This analysis seems somewhat accurate with that of **IonQ (2025b, 2025c)**.
- **Solvency:** The company has zero long-term debt, meaning it is entirely equity-financed and has no gearing risk. However, "Interest Cover" is negative because the company is not yet generating operating profit (EBIT) to cover even minimal interest payments. This analysis is consistent with what was done by **Biswas (2026)**.
- **Profitability:** While revenue grew by 202% year-over-year, gross margins contracted from 52.2% to 40.4%. Net margins remain deeply negative as the company scales its workforce and R&D efforts. The profitability ratio analysis can be corroborated with that of **IonQ (2025d)**.
- **Efficiency:** AR days increased significantly to 186 days, suggesting that as IONQ moves toward larger hardware contracts, the time to collect payment is lengthening. This is consistent with the IonQ's Annual Report of 2025. (**source: Financial Statement 2025**).
- **Investment:** Negative EPS and ROE reflect the "early stage of commercial growth" where losses are prioritized over technical milestones (**source: Financial Statement 2025**).

Stock Market Analysis (200-Day Moving Average)



1. IonQ's monthly average share price approximately at \$24 in Oct 2021

DMY Technology Group took IonQ public in 2021 through a merger with one of its shell companies, which made it a first publicly traded quantum computing company. During this time, IonQ had made strategic partnerships with major tech giants like Amazon AWS, MS Azure and Google Cloud where they offered quantum computers via cloud (QCaaS) (**Butts and Chin, 2026**).

2. IonQ's monthly average share price dipped to approximately \$5 in 2022

In 2022, Scorpion Capital alleged that IonQ's technology was a "hoax". Although the US Court of Appeals dismissed the allegation, it affected IonQ's reputation and hence the share price dipped (**Kahn, 2026**).

3. IonQ's monthly average share price increased to approximately \$19 in 2023

IonQ started supporting NVIDIA CUDA-Q, which is a hybrid quantum-classical computing platform to enable integration of IonQ quantum processing units (QPUs) with NVIDIA GPUs (**IonQ, 2025f**).

4. IonQ's monthly average share price decreased below \$10 in most part 2024

IonQ invested heavily in R&D and operating expenses, due to which there was a huge gap between revenue growth and net losses (Gemini)

5. IonQ's share price approximately more than \$40 in Nov 2024

In Q1 2025, IONQ secured a deal with Electric Power Board of Chattanooga to deploy its "Forte Enterprise" system. This was the first time a commercial customer had fully deployed both a quantum computer and a quantum network, proving there was real-world demand for the technology (**Swayne, 2025**).

6. IonQ's share price dipped below \$25 in Feb 2025

IonQ showed an EBITDA loss of roughly \$120M, although it raised huge revenues, which showed that the company will probably continue to burn cash for the foreseeable future (**Bylund, 2025**).

7. IonQ's share price at an all-time high in 2025

IonQ announced the acquisition of Vector Atomic. Also, the company became a partner for the Department of Energy's Quantum-in-Space collaboration (**Daly, 2025**).

8. IonQ's share price dipped below \$30 at present

Firstly, by the end of 2025, IONQ closed a deal of \$2B equity offerings (**IonQ deal with HCM**). It gave a massive increase in funds, however, it issued a significant number of shares which diluted its current value (**source: Financial Report**). Secondly, stock market analysts revealed lower price targets in February 2026, which gave a ripple effect to more bearish takes. Lastly, US government's military operations in Iran with resolution nowhere in sight made investors to sell their stocks (**Levine, 2026**).

Competitor Analysis

Rigetti Computing (RGTI)

Rigetti's superconducting qubits are faster in "gate speed" but has high error rates and requires more complex cooling (dilution refrigerators). IonQ's trapped ions, although slower in processing speed compared to Rigetti's qubits, are more accurate (99.95%) and stable.

IonQ is a more beneficial investment as it is the first quantum company which went public and exceeded \$100M in annual revenue, alongwith \$3.5B in cash reserve as compared to Rigetti's smaller capital base (Trading View, 2026).

D-Wave Quantum (QBTs)

D-Wave's quantum computer is based on quantum annealing technology, it has more qubits in comparison with IonQ. However, it cannot run the same broad range of algorithms that IonQ's gate-based system can.

Here, IonQ remains more beneficial because their quantum computers have broader commercial applications than D-Wave's annealing systems. Moreover, analysts advise "Hold" IONQ shares and await a clearer inflection for a better entry point (Bitget, 2026).

Investment Downsides and Risk Factors

- **Massive Net Losses:** A loss from operations of \$633.7M in 2025 shows that IonQ is spending nearly \$6 for every \$1 it earns in revenue.
- **Warrant Liability Volatility:** The company carries over \$2B in warrant liabilities. Changes in stock price cause "paper" gains or losses that swing the net income wildly regardless of business performance.
- **Dilution Risk:** The common stock outstanding jumped from 221M to 362M shares in one year. This dilution reduces the ownership stake of existing shareholders significantly.
- **Technological Uncertainty:** At present, large-scale commercial production of quantum computers may never occur if fundamental R&D breakthroughs are not met.

Conclusion

On one hand, IonQ's liquidity is enormous for a company of its size, with over \$2B in cash to fund operations for years. On the other hand, profitability and dilution trends show high risks. The 202% revenue growth is impressive, but the \$1.9B in Goodwill suggests that IonQ is betting heavily on expensive acquisitions. It is high-stakes play on the future of computation.

- **Buy** if you want to do a long-term investment (5 to 10 years) and believe that quantum computing will yield high returns, and you are comfortable with high volatility and share dilution (Drury, 2026).
- **Avoid** if you require near-term profitability, stable earnings, or protection from heavy shareholder dilution.

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